

CRNC
CRNC N/A

Hold	\$10.28 ▲ 1.13%	12M Price Target \$12.50	52-Week Range \$5.85 – \$13.74	Market Cap \$465M
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CRNC: Auto Voice AI Grinds While BYD Deal Percolates

WHAT HAPPENED

- CRNC drifted up 1.1% on very light volume (130K shares vs. ~600K normal) — this isn't a real move, it's just a quiet summer day with the broader Tech sector up 2.45%. CRNC is basically riding coattails, not reacting to any company-specific news.
- The big overhang is still the May Q2 earnings miss and the BYD partnership expansion (Chinese EV giant putting Cerence's large language model voice AI in their cars) — those are the two forces tugging the stock in opposite directions right now.

WHY IT MATTERS

The stock has quietly rebuilt from \$5.85 lows to \$10 — that's a 75% recovery, which tells you the market has stopped pricing CRNC as a bankruptcy candidate and started pricing it as a legit turnaround. But it's stalled in the \$10-11 zone for a reason: revenue is going sideways (~\$236M this year vs. \$332M two years ago), and voice AI in cars is getting commoditized by Google, Apple, and increasingly OpenAI partnerships baked directly into new vehicles. The BYD deal matters because it's a defensive moat — if Cerence becomes the default voice layer for the world's largest EV maker, that's a recurring royalty stream nobody can easily rip out. Watch for whether they can replicate that with a Western OEM (Ford, Stellantis, VW) — that's the tell for whether this is a \$15 stock or a \$20 stock.

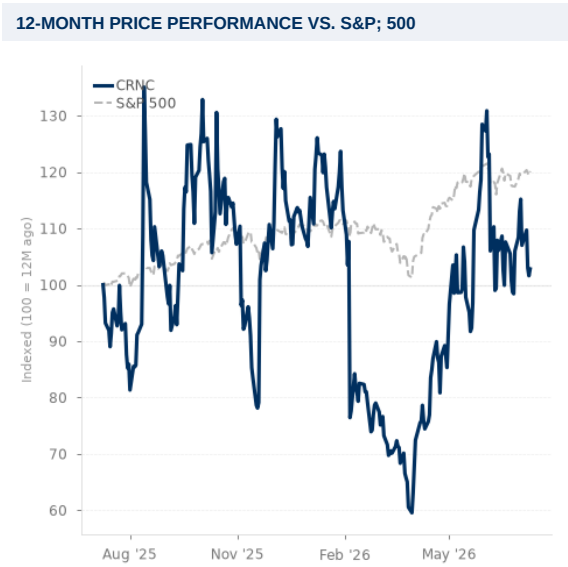
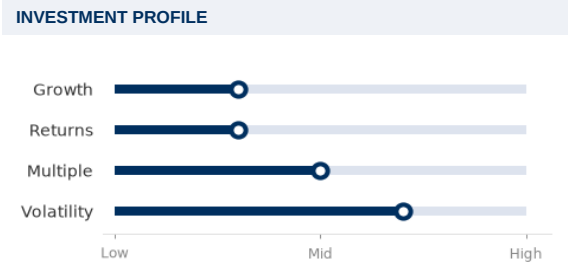
POLICY & POLITICAL WATCH

The Trump administration's tariff regime on Chinese EVs and auto tech is the elephant in the room — CRNC's biggest growth partner is BYD, and if tariffs escalate or the U.S. bans Chinese-linked software in "connected vehicles" (a rule Commerce has been drafting since 2024), CRNC's BYD royalty stream gets politically complicated. On the flip side, the EU AI Act's automotive provisions kick in more fully this year, and CRNC's on-device (non-cloud) voice AI is actually well-positioned for the privacy requirements — smaller competitors will struggle to comply. Net-net: geopolitics is a headwind on the China side, tailwind on the Europe side.

IS IT EXPENSIVE?

At \$465M market cap on ~\$236M in expected revenue, you're paying about \$2 for every \$1 of revenue — that's cheap for a software company but appropriate given they're still losing money and revenue is flat-to-down. Compare to SoundHound (SOUN), a voice AI peer trading at roughly 20x revenue on growth hopes — CRNC is the "boring value" version of the same theme. The valuation makes sense IF they can hit positive free cash flow next year like management has guided; if they miss that, the multiple compresses fast.

Key Data	
Price (USD)	\$10.28
12M Price Target	\$12.50
Upside / (Downside)	+21.6%
Market Cap	\$465M
FY2026E Revenue	\$236M
FY2027E Revenue	\$250M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$11.50	\$10.50	\$9.00
6 Months	\$14.00	\$11.00	\$8.00
1 Year	\$16.00	\$12.50	\$7.00
2 Years	\$20.00	\$14.00	\$6.00
5 Years	\$30.00	\$16.00	\$4.00
10 Years	\$45.00	\$20.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.45% today) is leading again as AI capex numbers keep surprising to the upside and rate-cut expectations for later this year firm up. Financials benefiting from the steeper yield curve.

COOLING OFF: Consumer Discretionary (-2% over 5 days) is signaling that the consumer is tapping out — bad omen for auto sales, which is CRNC's end market.

ROTATION WATCH: Money is flowing into mega-cap AI infrastructure (Nvidia, hyperscalers) and away from small-cap AI "story stocks" — CRNC sits awkwardly in the second bucket, which is why it can't break out even when Tech rips.

RELATED PLAY: If you like the in-car AI theme but want less binary risk, look at Mobileye (MBLY) or even Qualcomm (QCOM) — they play in the same automotive tech stack with way more scale and diversification.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): The market's preferred voice AI story — pipeline growth headlines and restaurant/enterprise wins keep the multiple sky-high despite being smaller than CRNC in revenue.
- MBLY (Mobileye): Auto-tech peer benefiting from ADAS (driver assistance) adoption acceleration and cleaner geopolitical positioning than CRNC.

CRNC CONTEXT: CRNC is lagging its peers meaningfully — SOUN trades on hope, MBLY trades on scale, and CRNC trades on "prove it." Until they deliver a clear growth quarter, expect it to remain the discount option in the voice AI/auto AI basket.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Interesting turnaround with a real product moat, but too many exogenous risks (tariffs, auto cycle) to pound the table.

POSITION SIZE: 1-2% of portfolio — this is a speculative satellite position, not a core holding. The 81% institutional ownership tells you the smart money already found it; you're not early.

ENTRY POINTS: I'd wait for a pullback to \$8.50-9.50 (which happens on any macro fear day given the low float and volatility) rather than chase here at \$10.28.

TIME HORIZON: 12-18 months — the catalyst I'm waiting for is either a new Western OEM contract announcement or the Q4 earnings print showing YoY revenue growth for the first time in years.

WHEN TO BAIL: If next earnings shows revenue down more than 10% YoY, if they announce a capital raise, or if the U.S. formally bans BYD-related software partnerships — any of those breaks the thesis.

HEDGING: The cleanest hedge is pairing this with a small short in SOUN — same theme, wildly different valuations, so if the whole voice AI space cracks you make money on the short to offset the CRNC loss. If shorting isn't your thing, just keep the position small.